

## PRA Glossary - O

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## PRA Glossary - O

### O-SII

means a person identified by the PRA in accordance with Part 3 of the Capital Buffers and Macro-prudential Measures Regulations 2025 (SI 2025/653).

### O-SII buffer

means the O-SII buffer that a person is required to calculate under a requirement imposed by the PRA under section 55 of FSMA or a direction given by the PRA under section 192 of FSMA.

### occupational pension scheme

has the meaning set out in article 3(1) of the Regulated Activities Order.

### OECD

means the Organisation for Economic Cooperation and Development.

### officer

means, in relation to a body corporate: (1) a director, member of the committee of management, chief executive, manager, secretary or other similar officer of the body, or a person purporting to act in any such capacity; and (2) an individual who is a controller of the body.

### official list

The changes to this defined term are effective from 23:00 on 31/12/2020. means the list maintained by the FCA in accordance with section 74(1) of FSMA for the purposes of Part VI of FSMA.

### offsetting transaction

means, in accordance with Insurance Company - Risk Management 7.8 and 7.9: (1) an approved derivative, approved stock lending transaction or an approved quasi-derivative; or (2) a covered transaction with an approved counterparty for the purchase of assets.

### omnibus account

means an account at a central bank in which comingled funds can be held by, or on behalf of, more than one entity.

## ONA system

means the PRA's online notification and applications system, by whatever name known.

## operating a dormant account fund

means any of the regulated activities specified in: (1) article 63N(1)(a) of the Regulated Activities Order (meeting of repayment claims); or (2) article 63N(1)(b) of the Regulated Activities Order (managing dormant account funds (including the investment of such funds)).

## operating a multilateral trading facility

means the regulated activity in article 25D of the Regulated Activities Order.

## operational risk

(in the Solvency II Firms Sector of the PRA Rulebook) means the risk of loss arising from inadequate or failed internal processes, personnel or systems, or from external events, including legal risks which, for the purposes of Solvency Capital Requirement - General Provisions 3.3(1), includes legal risks but excludes risks arising from strategic decisions and reputational risks. (in the Non-Solvency II Firms Sector of the PRA Rulebook) means the risk of loss resulting from inadequate or failed internal processes, people and systems or from external events, including legal risk. [Note: Art. 13(33) and Art. 101(4) of the Solvency II Directive]

## Operator

in relation to a payment system has the same meaning as in Part 5 of the Banking Act 2009 (see section 183 of that Act).

## Opt-in IFRS 9 firm

means a firm which is not an IFRS firm and which applies IFRS 9 in accordance with Financial Reporting Standard 101 (September 2015, ISBN 978-0-7545-5361-8) or 11.2(c) and 12.2(c) of Financial Reporting Standard 102 (September 2015, ISBN 978-0-7545-5362-5).

## option

means the investment specified in article 83 of the Regulated Activities Order.

## ORSA

means the own risk and solvency assessment carried out from time to time, as detailed in Conditions Governing Business 3.8 to 3.11.

## OTC derivative

means a derivative traded solely over the counter.

## OTF

This defined term is effective from 23:00 on 31/12/2020. means a multilateral system which is not a regulated market or an MTF and in which multiple third-party buying and selling interests in bonds, structured finance products, emission allowances or derivatives are able to interact in the system in a way that results in a contract in accordance with provisions implementing Title II of MiFID II.

## outsourcing

means an arrangement of any form between a firm and a service provider, whether a supervised entity or not, by which that service provider performs a process, a service or an activity, whether directly or by sub-outsourcing, which would otherwise be undertaken by the firm itself.

## overseas firm

means a firm which has its registered office (or, if it has no registered office, its head office) outside the UK.

## overseas regulator

This defined term is effective from 23:00 on 31/12/2020. means a regulator outside the United Kingdom.

## own funds

(in the Solvency II Firms Sector of the PRA Rulebook) means: (1) (in relation to a UK Solvency II firm and Lloyd's) the firm's aggregate basic own funds and ancillary own funds as determined in accordance with the Own Funds Part of the PRA Rulebook; or (2) (in relation to an insurance holding company) own funds determined in accordance with (1) as if it were a UK Solvency II firm. (3) [deleted] [Note: Art. 87 of the Solvency II Directive]

## own funds lists

means the lists of Tier 1 own funds, Tier 2 own funds and Tier 3 own funds set out in Own Funds 3A, 3D, 3F, 3H, and 3J.